

Week 40 -- Deep Research (Full)

Date: 2026-06-14 (Sunday) | Week: 40 of 52 | Execution session: Monday 2026-06-15

Session d

1. RESTATED RULES

- Universe: U.S.-listed common stock, nano- to small-cap ($\leq \$2B$), NYSE/NASDAQ/NYSE American. Long-only, full shares, no options/margin/shorting.
- Exclusions: OTC, ETFs/ETNs/closed-end funds/SPACs, warrants/units/preferreds/ADRs, bankrupt/halted, defence, Israeli-affiliated.
- Risk control: stop on every position; size so a stop-out costs $\leq 5\%$ of equity; no single name $> 30\%$ of equity; maintain $\geq 15\%$ cash reserve.
- Sector cap: ≤ 2 of positions in the same GICS sector.
- Liquidity: price $\geq \$1$, 3-mo ADV $\geq \$500K$, float $\geq 5M$.
- Entry discipline: screener picks start at 2/5 conviction, rising only on independent verification; post-earnings cooldown; distance-from-base limits; ATR-based stops; pre-open verification; don't force trades (No-Candidates Rule).
- Momentum plays: 5-trading-day minimum hold; must be above 20-day SMA at entry.

2. RESEARCH SCOPE

- Data retrieved: 2026-06-14, via live web search (prices as of Fri 2026-06-12 close; some intraday refs to 06-14 weekend quotes).
- Holdings reviewed: WKC, SHO, IMPP, TDAY, INN -- price, stop distance, catalyst status.
- Screener watchlist evaluated: 15 candidates; deep-dive on GT, TILE, JBI, CBZ, AMLX, VYX, plus identification of ADAM (mortgage REIT) and BCAT (excluded -- closed-end fund).
- Market regime: IWM \$292.95 vs 50-day SMA $\sim \$279$ -> above, normal regime, no new-initiation freeze.
- Macro: Broad risk-on into the weekend on US-Iran de-escalation (oil sank, SPY +1.7% on 06-11). SpaceX IPO and Paramount-WBD headlines dominated 06-12.

3. CURRENT PORTFOLIO ASSESSMENT

Ticker	Role	Entry Date	Avg Cost	Current Price	Current Stop	Conviction	Status
WKC	Energy (distribution /services)	2026-04-27	\$26.00	\$31.72	\$28.80	4/5	Hold -- +22%, 52-wk high, approaching valuation ceiling
SHO	Real Estate (hotel REIT)	2026-05-18	\$10.20	\$11.72	\$10.60	4/5	Hold -- +15%, raised FY outlook, World Cup tailwind
IMPP	Energy (tankers)	2026-06-01	\$5.20	\$5.25	\$4.80	2/5 ?	Exit -- thesis undercut by Iran de-escalation

TDAY	Comm. Services (digital/AI)	2026-06-08	\$8.15	\$7.74	\$7.20	3/5	Hold -- recovering, min-hold expired, AI thesis intact
INN	Real Estate (hotel REIT)	2026-06-08	\$5.75	\$6.20	\$5.15	3/5	Hold -- FIFA catalyst live, Q2 pace +4%

Sector exposure (current): Energy 2 (WKC, IMPP) · Real Estate 2 (SHO, INN) · Comm Services 1 (TDAY) -- both Energy and Real Estate at cap.

4. CANDIDATE SET

Ticker	One-Line Thesis	Key Catalyst	Confirmation	Liquidity
TILE (Cons. Cyclical)	Commercial flooring beat-and-raise; margin expansion; reclaimed 200-DMA	Q1 beat (\$0.41 vs \$0.33) + raised FY guide; NeoCon product launches	Confirmed (2+ sources)	\$1.85B cap, ADV ?\$1M [OK]
GT (Cons. Cyclical)	Cheap tire turnaround on "Goodyear Forward"	Lunar-tire PR; cost savings \$107M	Confirmed but Q1 net loss ?\$249M	Liquid [OK]
JB1 (Industrials)	Self-storage doors; sequential margin recovery	Reaffirmed FY guide; Q1 "low point"	Confirmed; no catalyst <10d	\$730M, [OK]
CBZ (Industrials)	Accounting/advisory roll-up (Marcum)	Q1 beat (\$2.50 vs \$2.27); next ER 07/29	Confirmed; no catalyst <10d	\$1.9B [OK]
VYX (Technology)	NCR Voyix commerce-platform contract wins	Q1 loss narrowed; new deals	Confirmed; next ER 08/05	\$1.1B [OK]
AMLX (Healthcare)	Avexitide Phase 3 LUCIDITY (PBH)	Topline Q3 2026	Confirmed but timing vague/>10d	\$1.6B [OK]
ADAM (Real Estate)	Mortgage REIT (ex-NYMT)	Rate-sensitive	--	Sector at cap -- blocked
BCAT (Financial)	BlackRock allocation trust	--	Excluded: closed-end fund	--

Why each non-selected screener pick was passed (one line each):

- GT -- optically cheap but Q1 net loss ?\$249M, leverage, no turnaround proof; momentum score ? fundamental conviction.
- JB1 -- solid but momentum stalling (?3.6% MTD), no catalyst inside the 10-day window; watchlist.
- CBZ -- quality compounder but choppy, 1-yr TSR ?55%, next catalyst not until 07/29.
- VYX -- strong momentum (+18% 20d) but no near-term catalyst (ER 08/05); revisit on pullback.
- AMLX -- genuine binary (Phase 3) but "Q3 2026" is not date-certain and is beyond the 10-day window; high-quality watchlist name.
- ADAM / PDM -- Real Estate, blocked by sector cap (SHO + INN already fill it).
- BCAT -- closed-end fund, excluded by rule.
- AIP, EVTC, ARHS, MLKN -- extended momentum, no dated catalyst, lower composite rank; no edge over TILE.

5. PORTFOLIO ACTIONS

- Keep: WKC, SHO, TDAY, INN.
- Exit: IMPP -- 2/5 conviction; the tanker-rate thesis (Strait of Hormuz spike) is directly undercut by this week's US-Iran de-escalation, which normalizes rates. Flat since the 06-01 entry; dead money while the book trails the benchmark.

- Initiate: TILE -- target ~\$128 (4 shares, ~18.6% of equity). Funded by the IMPP exit. Quality momentum: Q1 beat-and-raise, margin guide up, reclaimed 200-DMA (06-07), +15% above the 50-day (within limits). Opens the Consumer Cyclical sector. Conviction 3/5 (screener 2/5 base, +1 for independent beat-and-raise + clean technical structure).
- Raise stops (Neutral, lock winners): WKC \$28.80 -> \$29.20; SHO \$10.60 -> \$10.90.

Net effect: stays at 5 positions (the 6th slot remains open for a future high-conviction catalyst -- e.g., AMLX into its Q3 readout). Cash reserve preserved.

6. EXACT ORDERS

To be placed at market open on Monday, 2026-06-15.

Order 1 -- Sell Order - IMPP:

- Action: Sell
- Ticker: IMPP
- Shares: 19 (full position)
- Order Type: Limit
- Limit Price: \$5.20
- Time in Force: DAY (2026-06-15)
- Instructions: Sell at open, not below \$5.20. Friday close \$5.25 -- should execute promptly. Re-entry banned 10 trading days after fill.
- Rationale: Exit a 2/5 position; the Strait-of-Hormuz tanker-rate thesis is undercut by this week's US-Iran de-escalation. Recycle capital into TILE.

Order 2 -- Buy Order - TILE:

- Action: Buy
- Ticker: TILE
- Shares: 4
- Order Type: Limit
- Limit Price: \$32.10
- Time in Force: DAY (2026-06-15)
- Stop Loss: \$28.70 -- ~10% below entry, just above the 50-day SMA (\$27.71)
- Stop Limit: \$28.55 -- 0.5% below the stop trigger
- Instructions: Do Not Exceed \$32.10. PRE-OPEN CHECK -- if TILE gaps >2% above ~\$32.50 at the open, PASS and wait for a pullback toward the 50-day reclaim zone. Place the stop with the broker before the next market open (the CSV stop field is informational only).
- Rationale: Beat-and-raise momentum with a fresh 200-DMA reclaim; opens the Consumer Cyclical sector slot. Sized small (~18.6% of equity) for a 2.0%-equity risk budget.

Order 3 -- Stop Raise - WKC (no share change):

- Action: Raise stop-loss
- Ticker: WKC
- Stop Loss: \$28.80 -> \$29.20
- Stop Limit: \$29.05
- Rationale: Locks +12.3% on the +22% winner (~7.9% below the \$31.72 close).

Order 4 -- Stop Raise - SHO (no share change):

- Action: Raise stop-loss
- Ticker: SHO
- Stop Loss: \$10.60 -> \$10.90
- Stop Limit: \$10.80

- Rationale: Locks +6.9% on the +15% winner (~7.0% below the \$11.72 close).

7. RISK AND LIQUIDITY CHECKS

Position concentration after trades (equity ? \$690.6):

Holding	Value	% Equity
INN	\$136.40	19.8%
SHO	\$128.92	18.7%
TILE	\$128.40	18.6%
TDAY	\$123.84	17.9%
WKC	\$63.44	9.2%
Cash	\$109.59	15.9%

- Cash reserve: 15.9% >= 15% floor [OK]
- Single-name cap: max 19.8% < 30% [OK]
- TILE stop-out risk: $4 \times (\$32.10 - \$28.70) = \$13.60 = 2.0\%$ of equity < 5% [OK]
- Per-order ADV: IMPP sell (\$99) and TILE buy (\$128) are both <1% of each name's average daily dollar volume -- negligible slippage [OK]
- Sector cap after trades: Energy 1 (WKC) · Real Estate 2 (SHO, INN) · Comm Services 1 (TDAY) · Consumer Cyclical 1 (TILE) -- no sector >2 [OK]

8. MONITORING PLAN

- WKC -- 52-wk high; watch for the +30% partial-profit trigger (~\$33.80) and analyst-ceiling risk (consensus PT \$28.75 already exceeded). New stop \$29.20.
- SHO -- World Cup RevPAR lift (Deutsche Bank: +50-75bp for full-service REITs); new stop \$10.90.
- TDAY -- min-hold expired; AI-licensing momentum (analyst PTs \$6.75-\$8). Reassess if it loses ~\$7.40; stop \$7.20.
- INN -- FIFA live (day 4+); Q2 pace +4%, ~? of rooms in host markets. Keep the wide \$5.15 catalyst stop through the tournament window.
- TILE (new) -- confirm fill and broker stop placement; watch the 50-day (\$27.71) as trailing support; no earnings until late 2026, so it's technical -- exit on a 200-DMA loss or stop.
- Watchlist: AMLX (Phase 3 Q3 readout -- candidate for the open 6th slot), VYX/JBI on pullbacks.

9. THESIS REVIEW SUMMARY

WKC (World Kinect) -- HOLD | 4/5. Fuel distribution/services compounding on the Q1 beat (EPS \$0.75 vs \$0.31). Re-branding to "World Fuel." At 52-wk highs and above consensus PT (\$28.75) -- upside narrowing, so stop raised to \$29.20 to lock +12.3%. Thesis intact, valuation-capped.

SHO (Sunstone) -- HOLD | 4/5. Upscale hotel REIT with raised FY outlook, buybacks, and Andaz Miami Beach delivering. 23% World Cup city revenue exposure adds a near-term RevPAR tailwind. Stop raised to \$10.90. Thesis strengthening.

IMPP (Imperial Petroleum) -- EXIT | 2/5. Entered as a Hormuz tanker-rate spike play. This week's US-Iran de-escalation directly pressures the rate environment the thesis depended on; the stock is flat since the 06-01 entry. Despite cheap optics (P/E ~3.4) and bullish analyst PTs, the catalyst is fading -- recycle the capital. (10-day re-entry ban noted.)

TDAY (USA TODAY) -- HOLD | 3/5. AI-licensing surge (+125.6% to \$18.8M) plus digital nearing 50% of revenue and a \$100M cost-cut plan. Recovered from the post-entry dip; min-hold expired with the thesis intact. Analyst PTs \$6.75-\$8.

INN (Summit Hotel) -- HOLD | 3/5. FIFA World Cup demand surge now live (Jun 11-Jul 19); 44 hotels across six host markets, Q2 revenue pace +4%. Conservative balance sheet, 7%+ yield. A 6-week catalyst runway -- hold through the tournament on the wide stop.

TILE (Interface) -- INITIATE | 3/5. Commercial flooring leader executing the "One Interface" strategy: Q1 EPS \$0.41 vs \$0.33, revenue \$331M beat, raised FY sales and margin guidance, and a fresh 200-DMA reclaim. A momentum/technical entry (no dated catalyst) with genuine fundamental support, sized small and stopped at the 50-day. Bear case: cyclical commercial-real-estate demand, raw-material/tariff cost pressure, and an extended tape at market highs -- hence the tight 2.0%-equity risk budget.

Overall portfolio thesis. Week 40 of 52, trailing the S&P-equivalent by ~7%. The rotation swaps a fading macro-catalyst name (IMPP) for a fundamentally-supported momentum name (TILE) without breaching the 15% cash reserve, and tightens stops on the two winners (WKC, SHO) that are carrying the book. The portfolio stays catalyst-loaded (INN FIFA, TDAY AI) and diversified across five GICS sectors, with one slot deliberately held open for a higher-conviction catalyst (AMLX Phase 3) as it approaches.

10. CONFIRM CASH AND CONSTRAINTS

- Cash before: \$139.19 (20.1%). After IMPP exit (+\$98.80) and TILE buy (?\$128.40): \$109.59 (15.9%) -- above the 15% floor [OK]
- Positions: 5 of max 6 [OK] (6th slot intentionally open)
- Sector cap: no GICS sector >2 [OK]
- Single-name <=30%: max 19.8% [OK]
- Risk-per-trade <=5%: TILE 2.0% [OK]
- Liquidity filters (TILE): price \$31.87 >= \$1, ADV ? \$500K, float ample [OK]
- Above 20-day SMA at entry (momentum rule): TILE yes [OK]
- No excluded securities: BCAT (CEF) and ADAM/PDM (sector-capped) correctly screened out [OK]
- All rules satisfied.

Week 40 deep research generated 2026-06-14 by Claude Code.